

1 ENGROSSED HOUSE
2 BILL NO. 4344

By: Moore of the House

3 and

4 Jech of the Senate

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6
7 An Act relating to The Oklahoma State System of
8 Higher Education; amending 62 O.S. 2021, Section
9 34.53, as amended by Section 1, Chapter 84, O.S.L.
10 2025 (62 O.S. Supp. 2025, Section 34.53), which
11 relates to the Oklahoma State Finance Act; permitting
12 the Oklahoma State Regents for Higher Education to
13 reduce allocations in order to make payments for
14 annual obligations; and providing an effective date.

15 BE IT ENACTED BY THE PEOPLE OF THE STATE OF OKLAHOMA:

16 SECTION 1. AMENDATORY 62 O.S. 2021, Section 34.53, as
17 amended by Section 1, Chapter 84, O.S.L. 2025 (62 O.S. Supp. 2025,
18 Section 34.53), is amended to read as follows:

19 Section 34.53. A. 1. The Oklahoma State System of Higher
20 Education, established by Article XIII-A of the Oklahoma
21 Constitution, shall operate an allotment system similar to the
22 procedure set out in the Oklahoma State Finance Act for other
23 agencies of the state except that the Oklahoma State Regents for
24 Higher Education shall be substituted for the Director of the Office
of Management and Enterprise Services in connection with approving

1 allotment requests of the constituent institutions comprising The
2 Oklahoma State System of Higher Education.

3 2. The account classification for the State System of Higher
4 Education shall conform as nearly as possible with the
5 classification of accounts recommended by the National Committee on
6 Standard Reports for Institutions of Higher Education.

7 3. The Board of Regents shall allocate to each institution
8 under its control from the consolidated, or lump sum appropriation
9 made by the Legislature, an amount sufficient to meet the needs and
10 functions of each institution for the entire year.

11 4. The amount allocated to each institution for each fiscal
12 year in accordance with Article XIII-A of the Oklahoma Constitution,
13 shall be made in a lump sum without regard to uniform budget or
14 accounting classifications, but shall not be available for
15 expenditure until subsequently allotted by the Regents in accordance
16 with the uniform budget and accounting classifications recommended
17 by the National Committee on Standard Reports.

18 B. The Oklahoma State Regents for Higher Education may reduce
19 the allocation of funds which could otherwise be made to an
20 institution within The Oklahoma State System of Higher Education in
21 order to make payments for leases within the lease financing program
22 authorized by Section 3206.6a of Title 70 of the Oklahoma Statutes
23 or for annual obligations authorized by subsection D of Section
24 3980.4 of Title 70 of the Oklahoma Statutes.

1 C. 1. The Regents, with the approval of the Director of the
2 Office of Management and Enterprise Services, may allot money to any
3 constituent institution to set up and operate a petty cash fund at
4 such institution. Such petty cash fund shall be reimbursed upon the
5 filing of claims showing the purposes for which the funds were
6 expended.

7 2. The Division of Central Accounting and Reporting shall make
8 cash allocations of revenue in accordance with Section 23 of Article
9 X of the Oklahoma Constitution, to each of the constituent
10 institutions. These cash allocations shall be based on the
11 allocations made by the Regents to each institution from the lump
12 sum legislative appropriations and such allocation shall be the
13 total appropriation for each institution, in lieu of legislative
14 appropriations.

15 3. After these funds have been allocated and allotted as
16 provided in this section, all institutional income shall operate as
17 a continuing nonfiscal appropriation which may be spent for any
18 educational and general purposes for which appropriated funds may be
19 spent. "Institutional income" for such purposes shall mean all
20 income available for educational and general purposes, as defined in
21 the uniform budget and accounting classifications recommended by the
22 National Committee on Standard Reports, and including income defined
23 by law as revolving fund income. Expenditures shall be limited to
24 the extent that obligations as they are incurred may not exceed the

1 unencumbered balance of cash on hand in accordance with Section 23
2 of Article X of the Oklahoma Constitution.

3 D. 1. At least thirty (30) days prior to the beginning of each
4 fiscal year, each of the constituent institutions shall file with
5 the Regents its request for appropriation allotments for each of the
6 purposes for which expenditures are to be made.

7 2. Such requests shall be broken down to conform to the uniform
8 budget or accounting classifications recommended by the National
9 Committee on Standard Reports.

10 3. Each institution's request for appropriation allotments
11 shall show the amount required to finance each item of the request
12 for the entire year and for each quarter or each six-month period
13 within the fiscal year, as required by the Director of the Office of
14 Management and Enterprise Services.

15 E. The Regents, or the official or employee who has been
16 authorized to approve itemized allotment requests, shall consider
17 the allotment requests for the purpose of making a determination
18 whether:

19 1. The current financial requirements of the institution
20 concerned justify the allotment to be made;

21 2. The accounting classification is sufficient to reflect the
22 purpose for which expenditures are to be made and that such
23 classification is in accordance with the budget classifications
24 adopted by the Director of the Office of Management and Enterprise

1 Services and the Regents, which shall conform as nearly as possible
2 to the account classification recommended by the National Committee
3 on Standard Reports for Institutions of Higher Education; and

4 3. The realization of estimated revenues determined by the
5 Director of the Office of Management and Enterprise Services is
6 sufficient to allow the commitments to be made.

7 F. 1. In allotting appropriations and other funds, and
8 approving subsequent allotments which may be required by each
9 institution, the Regents shall follow the same general procedure set
10 forth in the Oklahoma State Finance Act for other agencies of the
11 state not under the control of the Regents, except as otherwise
12 provided in this section.

13 2. All forms and account classifications shall be mutually
14 agreed upon by the Director of the Office of Management and
15 Enterprise Services and the State Regents.

16 3. The Regents shall file approved requests of constituent
17 institutions with the Division of Central Accounting and Reporting
18 and such requests shall be entered on the records of the Office of
19 Management and Enterprise Services in the same manner as is provided
20 in the Oklahoma State Finance Act for other agencies of the state.

21 4. The State Regents and the Director of the Office of
22 Management and Enterprise Services shall approve any request from
23 the administrative head of a constituent institution for amendment
24 of the approved schedule of positions and salaries, or transfers

1 between items, so long as the currently approved allotment for such
2 purposes is not exceeded. Each such amendment shall be filed with
3 the Office of Management and Enterprise Services, in such detail as
4 may be required, prior to the date on which the first payroll or
5 other disbursement affected by such amendment or transfer is
6 submitted for payment.

7 G. 1. In the event that the realization of estimated revenues
8 at any time during the fiscal year indicates that the total revenue
9 for that fiscal year to any state fund will be insufficient at the
10 end of the fiscal year to meet the total appropriations from that
11 fund, the Director of the Office of Management and Enterprise
12 Services shall notify the Oklahoma State Regents for Higher
13 Education as to the amount of reduction necessary against the
14 consolidated, or lump sum appropriations, made to the Regents.

15 2. The Regents, in making itemized allotments during the fiscal
16 year, may reserve an amount sufficient to meet a reasonable failure
17 of revenue until receipt of notice from the Director of the Office
18 of Management and Enterprise Services that the realization of
19 estimated revenues indicates that the total appropriation may be
20 allotted for expenditure. Upon receipt of notice from the Director
21 of the Office of Management and Enterprise Services of a necessary
22 reduction in the consolidated, or lump sum appropriation, to meet a
23 failure in revenue, the Oklahoma State Regents for Higher Education
24 shall immediately take action to control the approval of subsequent

1 allotment requests sufficient to make the aggregate reduction in
2 allotments of all constituent institutions under their control equal
3 the amount of reduction ordered against the lump sum appropriation
4 made by the Legislature. Such reductions against the lump sum
5 appropriation shall not exceed the percentage reduction ordered
6 against other agencies of the state in accordance with Section 23 of
7 Article X of the Oklahoma Constitution.

8 SECTION 2. This act shall become effective November 1, 2026.

9 Passed the House of Representatives the 23rd day of March, 2026.

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12 Presiding Officer of the House
of Representatives

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14 Passed the Senate the _____ day of _____, 2026.

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17 Presiding Officer of the Senate